

Booking Q2 2025 Earnings

Blind Sentiment & Directional Score: Financial results only

David Eji

July 30, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Booking Holdings Inc. (BKNG)
Report	Q2 2025
Release date	Tuesday 29 July 2025, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	31 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Room nights booked 309 million, up 8% year over year: Europe high single digits, Asia low double digits, Rest of World high single digits, the US low single digits.
- Gross bookings up 13% (approximately 9% in constant currency), with roughly 4 percentage points of FX contribution.
- Revenue \$6.8B, up 16%, exceeding guidance by 4 percentage points.

- Adjusted EBITDA \$2.4B, up 28%. Adjusted EPS \$55.4, up 32%.
- Alternative accommodations 37% of global room nights, up 1 point. Direct B2C bookings in the mid-60% range; mobile app mix mid-50%; Genius Levels 2 and 3 about 30% of active travellers and roughly 50% of room nights.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.30

Rationale. Revenue beat guidance by four points and EBITDA grew 28%, but roughly a third of gross bookings growth came from currency and US room nights grew only low single digits.

2 Directional signal

Signal: HOLD

Rationale. A clear beat, though FX-flattered and with soft US demand underneath. HOLD.

3 Structured summary

- **What the source shows.** Profitability is the standout: EBITDA up 28% and EPS up 32%.
- **What the source cannot show.** No guide, and for this name the forward outlook usually drives the reaction.
- **Expectations bar.** Beating guidance by four points is good, but constant-currency growth is more modest.
- **Conviction.** Mild positive lean: strong print, with FX and US softness capping conviction.

4 Evidence quotes

1. Room nights booked 309 million, up 8% year over year: Europe high single digits, Asia low double digits, Rest of World high single digits, the US low single digits.
2. Gross bookings up 13% (approximately 9% in constant currency), with roughly 4 percentage points of FX contribution.
3. Revenue \$6.8B, up 16%, exceeding guidance by 4 percentage points.

— SEALED —

Overnight move and call verification

BKNG close, 29 July 2025 (release day)	\$223.63
BKNG open, 30 July 2025	\$219.60
Overnight move	−1.80%

Call verification

- HOLD band test: $|-1.80\%| < 2.00\%$, inside the band, so HOLD territory.
- Sign test: The move is inside the band, so the correct directional call is **HOLD**.

- Score given vs. correct call: signal was **HOLD**, correct call **HOLD**, so **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 1.80%
D+1 close	+0.40%
D+3 close	−3.66%
D+5 close	−2.38%
D+10 close	−2.31%
D+20 close	+2.06%